

Security and employer pensions will be cut or perhaps eliminated in the future? Only a portion of these benefits will transfer to a spouse upon your death, and basically none of it goes to your family with the exception of a small amount of Social Security benefits for your children while they are young. If you purchase an annuity with your retirement money, income will go to you and perhaps your spouse, but not to your heirs unless you take a lower payout. All these issues play an important part in your ultimate investment plan, and you will have to consider them in your asset allocation.

STICK WITH CORE MUTUAL FUNDS AND ETFs

Asset allocation as framed in this book is mainly about prudently dividing your discretionary liquid investments among broadly diversified stock and bond mutual funds and exchange-traded funds. This strategy will reduce portfolio risk over time, and this leads to higher investment returns.

Some people may believe that they can jump-start their accounts by selecting superior securities or mutual funds within each asset class. This is attempted through self-management or by paying a professional advisor to pick investments. Neither works.

Trying to consistently pick investments that are going to beat their benchmarks is like trying to win a marathon wearing muddy boots. There is a lot of drag, and your odds of winning are very low. The high costs associated with attempting to beat the market will almost guarantee sluggish results.

In addition to high costs dragging down returns, a vast majority of investors, including professional money managers, do not have the needed information or skill to pick winning securities. By law, all investors must get the same breaking economic and company financial news at the same time. This means that no one has an advantage. Watching CNN, Bloomberg Television, and other financial news networks will yield no useful information that will enable you to earn excess returns over the market. There is a classic saying on Wall Street, “What everyone already knows is not worth knowing.”

If you happen to become privy to relevant news that others do not have, you cannot use this information to earn extra returns in the market. That is